

ISRAEL 2012

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1. Overview of the tax-benefit system

In the summer of 2011 a series of protests and demonstrations were held across Israel (known as "The Tent protest"). Following that protest a Committee for Socio-Economic, has been established. This committee was a public committee, appointed by Prime Minister Benjamin Netanyahu in August 2011, in order to examine and propose solutions to the distress of the cost of living in Israel. It was headed by Prof. Manuel Trajtenberg, chairman of the Planning and Budgeting Committee of the Council for Higher Education. The committee included 14 members from the public sector, academia and the private sector. The committee dealt with five areas: proposals to change priorities to ease the burden of the citizens of Israel, changing the mix of tax payments, providing access to social services, increased competition in the economy and reduce implementation measures housing prices.

The committee submitted its recommendations on 26 September 2011 and 9 October 2011, the government approved the report of the committee majority. On December 5, 2011, the Knesset approved the tax period report contains certain exemptions in the tax burden, those changes are detailed in the questioner, each under its relevant chapter.

National Insurance

The National Insurance Institute of Israel (NII) is the national institution of social security, operating under the National Insurance Law passed by the Parliament in November 1953.

The main role of the NII is to ensure a means of subsistence to those Israeli residents who cannot earn a living on their own. The NII is the main instrument for reducing poverty; it contributes substantially to the reduction of economic gaps in Israel and guarantees social and economic protection to every resident and family at times of temporary or prolonged distress. The social security is provided by means of about a hundred different benefits paid by the NII to persons entitled to them under the law, as well as by means of rehabilitative and social services.

The NII collects insurance premiums, or contributions, from all residents aged 18 or over in accordance with their income (from wages or other sources) and status: employer, employee, self-employed or non-working. In addition, as of January 1995, the NII is responsible for collecting health insurance contributions under the National Health Insurance Law and distributing them to the various sick funds.

All residents of Israel are covered by the NII, and the main social security benefits paid may be divided into the following categories:

1. Benefits given due to physical (health) condition: Long-term care, Disability, Mobility, Work injury, Accident injury, Hostile action casualties, Domestic violence, Radiation, Transfusion-acquired HIV, Polio victims;
2. Benefits given due to employment condition: Income support, Unemployment; Rights of volunteers;
3. Benefits given due to family situation: Survivors, Alimony, Children, Maternity;
4. Other benefits: Old age, Prisoners of Zion and Martyrs, Righteous gentiles, Reserve service, Bankruptcy or Liquidation of companies.

This document does not refer to all the above benefits, but rather only to those relevant to the questionnaire.

General information:

1. Basic amounts:

As of January 2006, most national insurance benefits, the value of which had been frozen in the framework of the Economy Arrangement Laws for 2002 and 2003, again became adjusted. However, from this date they are calculated according to the *basic amount*, rather than according to the average wage, as previously. The basic amount is updated on the 1st of January of every year at the rate of the rise on the cost-of-living index in the previous year. The basic amount is actually composed of three different sums for the various types of benefits, and was increased by 2.7% in January 2006.

In January 2012 the sums are:

Basic amount [1]	Basic amount [2]	Basic amount [3]
NIS 8,475	NIS 173	NIS 8,370
Death grant Bar Mitzvah grant Long-term care benefit General disability pension Birth grant Maternity allowance Work injury benefit Accident injury allowance Volunteers' benefit	Child allowance	Other benefits Calculation of maximum income for purposes of collection of contributions

1. Average wage:

The reference in this document is to average wage according to the National Insurance Law.

In January 2012 this average wage is NIS 8,619 Using version of ISIC 3, B-I industries (the very close equivalent of C-K industries in ISIC 3.1), in that year, the average worker in Israel earned NIS 9363 per month (annual amount: NIS 112,356).

1.1. *Average Worker's wage (AW)*

In 2012, the Average Worker (AW) wage was NIS 119880.

2. Unemployment benefits

Every Israeli resident who is an employee, at the age of 18 or over and under the *retirement age* as defined by law, is covered in unemployment insurance.

There is a monthly unemployment benefit, as well as a few grants given to special groups. There are specific conditions for receiving those grants, detailed as "particular groups" in each chapter.

The grants given are:

- Person working in low wages
- Person in vocational training.
- Daily unemployment benefit to unemployment person referred to working at "*unsuitable*" work

General definitions:

Work is considered ***suitable work*** if it meets these 3 conditions:

- a) A type of work at which the unemployed person worked in the 3 years preceding his unemployment, or any other work suiting the persons professional training, education level and health condition;
- b) The wages of the work offered are at least equal to the unemployment benefit which would be due to him, were he entitled to it;
- c) The work offered does not require a change in residence (according to the rules which have been determined).

Determining date: The 1st of the month in which the unemployed period began, on condition that at least 12 months have elapsed from the first of the month in which the previous unemployment period began.

2.1 *Conditions for receipt*

- Registration at a labour exchange as lacking work, and being ready and able to work at any *suitable work*, and the labour exchange has not offered such work;
- Age 20 to *retirement age*;
- Fulfilment of a minimum period of insurance.
- Person working at low wages:
 - An unemployed person.
 - Was referred to work at wages lower than unemployment benefit due to him
 - Worked at this work for at least 25 days
 - Did not use up the maximum period for payment of unemployment benefit
- A person in vocational training

2.1.1 *Employment conditions*

- Unemployment benefit qualifying period:
 - 360 days for which insurance contribution were paid out of 540 days prior to *determining date*
 - For daily employee: 300 days of the above out of 540 days

2.1.2 Contribution conditions

Insurance contributions (July 2012):

	<u>Full rate</u>	<u>Reduced rate</u> ¹
Employee	0.21%	0.01%
Employer	0.07%	0.03%
Government:		
For employee	0.06%	0.06%

The Ministry of Defense finances the cost of the unemployment benefit to *demobilized soldiers* released from the standing army.

In Israel young people at the age of 18 must serve in the Israeli Defense Forces (IDF). The duration of service is at least 2 years. According to the *Demobilized Soldiers Law*, soldiers released from the army, after fulfilling their army duties, are entitled to several benefits. Those benefits will usually be detailed in this document as “particular groups” at each chapter.

All income of workers, including convalescence grant, vehicle maintenance and telephone expenses, is liable for insurance contributions.

Insurance contributions are paid on income that is not higher than the ceiling that has been determined. The monthly income ceiling for contribution purposes is equal to five times the *basic amount* [3] (basic amount: NIS 8,370), for all insured person and employers (NIS 41,850 per month).

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 75 workdays of qualification period. For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage. Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage.

¹ Reduced rates of insurance contributions are paid on the share of income that is up to 60% of the *average wage*. The regular rate is paid on the remaining share of income.

January 2012

Gross salary subject to insurance contributions (NIS)		For those aged 28 or over			For those below the age of 28		
Monthly	Daily	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary
3,000	120	96.00	2,400	80%	72.00	1,800	60%
4,000	160	128.00	3,200	80%	96.00	2,400	60%
5,000	200	150.25	3,756	75%	113.50	2,838	57%
6,000	240	170.25	4,256	71%	129.50	3,238	54%
7,000	280	188.81	4,720	67%	144.06	3,602	51%
8,000	320	206.81	5,170	65%	158.06	3,952	49%
9,000	360	221.06	5,527	61%	169.56	4,239	47%
10,000	400	233.06	5,827	58%	179.56	4,489	45%
11,000	440	245.06	6,127	56%	189.56	4,739	43%
12,000	480	257.06	6,427	54%	199.56	4,989	42%
13,000	520	269.06	6,727	52%	209.56	5,239	40%
14,000	560	281.06	7,027	50%	219.56	5,489	39%
15,000	600	293.06	7,327	49%	229.56	5,739	38%
16,000	640	305.06	7,627	48%	239.56	5,989	37%
17,000	680	317.06	7,927	47%	249.56	6,239	37%
18,000	720	329.06	8,227	46%	259.56	6,489	36%
19,000	760	341.06	8,527	45%	269.56	6,739	35%
20,000	800	344.76	8,619	43%	279.56	6,989	35%
25,000	1,000	344.76	8,619	34%	329.56	8,239	33%

* Maximum daily unemployment benefit – NIS 344.76 for the first 125 days of payment.
As of the 126th day of payment, the maximum is NIS 229.84.

- Person working at low wages: payment calculated for every day at the rate of the difference between actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit.
- A person in vocational training. An amount equivalent to the difference between the payment given him during training, and 70% of the unemployment benefit to which he would have been entitled had he been unemployed.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: Payment at the rate of the difference between the average daily income from the work and an amount equivalent to the unemployment benefit or an amount equivalent to 75% of the average daily wage which served as the basis for calculation of the unemployment benefit – if the latter difference is higher.

2.2.2 *Income and earnings disregards*

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due him.

2.3 *Tax treatment of benefit and interaction with other benefits*

The income taxes on the unemployment benefit are at the rate of the parallel income amount received from work.

National Insurance is deducted from this benefit at the minimum rate of NIS 19 per month (as of 1.1.2011).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.4 *Benefit duration (maximum)*

- 125 days for an unemployed person aged 28 to 35, without dependents, in a 12-month period, including the month for which unemployment benefit was paid (see also: particular groups);
- 175 days for an unemployed person aged 35 to 45 with at least 3 dependents;
- 138 days for an unemployed person under 35 with at least 3 dependents and for an unemployed person aged 35 to 45 without 3 dependents;

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit.

- Person working at low wages the grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.
- A person in vocational training. Maximum period of payment under the law. For a person with less than 12 years of schooling receives benefit for up to 138 days even if his maximum period less than 138 days, up to the maximum period for payment under law.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: for the first 60 days after the beginning of his unemployment.

2.4.1 *Waiting period before benefit can be received*

Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the *determining date*.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

- **The qualifying period** for minors is 100 days for which insurance contributions were paid out of the 360 days prior to the *determining date*.
- **Benefit duration:**
 - 67 days for an unemployed person aged 25 to 28 without 3 dependents;
 - 50 days for an unemployed person under 25 without 3 dependents.
 - 138 days for an unemployed person under 35, with 3 dependents.

Grants for minor aged 15-18 who took part in vocational training during the period of his unemployment, and if no suitable work training was found for him, on condition that he worked previously and participate in the support of his family at a scope of at least 20%. **The amount is calculated by** the rate of participation in supporting parents and to wages during the qualifying period, within the limits of half the *average wage*.

2.5.2 *Older workers*

- **Benefit duration:** 175 days for an unemployed person aged 45 or over.

2.5.3 *Others if applicable:*

a. Demobilized soldier:

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the daily average wage, calculated as 60% of half the *basic amount* [3] (basic amount [3] : NIS 8,370), but no more than 80% of the minimum wage.

Furthermore, a demobilized soldier who works at a job recognised as a *preferred/required* job (at unsuitable work) may be eligible for a **grant** at the rate of half the unemployment benefit due him for a period of 138 days.

Demobilized soldier who worked at a job recognised as a *preferred/required* job that fulfils certain conditions (detailed in the “National Insurance programs in Israel” p.35) is entitled to partial grant.

The amount is calculated by the relative part of the full grant in accordance with the number of workdays at the *preferred/required* job, out of the 150 days entitling one to the full grant.

The grant is tax deductible and treated as an income by the Income Tax Authority.

Benefit duration: 70 days

- b. Following decease:** to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] –as it was 1st January (NIS 8,475).

3. Unemployment assistance

There is no distinct unemployment assistance benefit in Israel.

4. Social assistance

Income support benefit: A benefit paid to a person who is not capable of *providing himself by means of* income from work, and who is not eligible for payment from any other source. A partial benefit (income supplement) is paid to a person whose income from work or from any other source is lower than the minimum income level for subsistence, determined by law.

4.1 Conditions for receipt

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim;
- Aged 20 and over;

- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- The employment test is required for a person claiming the benefit and his spouse, who are one of the following:
 - **Unemployed** and registered with the Employment Service, from which he is requesting work under the rules determined by the Employment Service and which has not offered him to any work suited to his health and physical condition, or which referred him to vocational diagnosis and rehabilitation.
 - A person who refuses to accept work offered to him or refuses to cooperate is not entitled to benefit for two months
 - A person receiving an unemployment benefit which is lower than the amount of the income support benefit is entitled to an income supplement, provided that he also reports to the income support section of the Employment Service and is prepared to take any work that is offered to him.
- The employment test for the income support benefit applies to the claimant and his spouse. If the spouse does not satisfy the employment test, there is no entitlement to benefit. It should be noted that there are persons exempt from the employment test, such as a mother of a child up to two years old.

4.2 Calculation of benefit amount

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Following are the various benefit rates as percentage of the *basic amount* [3] – NIS 8,370.

4.2.1 Calculation of gross benefit

For those under the age of 55:

Who had been entitled to regular rate in December 2002 or who began receiving benefit in January 2003: individual - 20%; couple – 27.5%; couple with one child - 30%; couple with two or more children – 33.5%.

Who had been entitled to increased rate in December 2002: individual – 22.5%; couple – 30%; couple with one child – 33.5%; couple with two or more children – 39%.

4.2.2 Income and earnings disregards

Maximum income for entitlement to benefit: single, NIS 2,746; couple, , NIS 3,785; couple with one child NIS 4,206; couple with two or more children, NIS 4,954, lone-parent with one child, NIS 5,136; lone-parent with two or more children, NIS 5,884.

The amounts of income support benefit alter in the presence of earnings **above** the specified limits. The withdrawal rate is between 60%-70%, depending on the family composition and type of benefit.

4.3 Tax treatment of benefit and interaction with other benefits

Health insurance is deducted from this benefit at the minimum rate of NIS 100 per month.

4.4 Benefit duration

For an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

4.5 Treatment of particular groups

4.5.1 Young persons

For those under the age of 25 who are not defined as one of the exceptions set down in the law: the benefit rate is 80% of the rates listed above in (see 4.2.1.)

4.5.2 Older workers

For those aged 55 or over:

The increased rate is paid: individual - 25%; couple – 37.5%; couple with one child – 43.5%; couple with two or more children – 49.5%.

4.5.3 Others if applicable

a. New immigrants: Conditions for receipt: 12 accumulative months of residence preceding the submission of claim.

b. Widows, separated persons and single parents:

with one child – 42.5% (less one *basic amount* [2]) (basic amount: NIS 173)
with two or more children – 52.5% (less one *basic amount* [2])

c. Rate for children: orphan or abandoned child:

25% (less one basic amount [2]);
two children – 37.5% (less two basic amounts [2])
Each additional child – 10%.

d. Young persons under the age of 20 are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or an abandoned child.

e. The following may be entitled at the age of 18 or over: those who lack the capacity to work due to illness, released prisoners, prisoners working at service jobs, persons in severe distress.

f. Following deceased: to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] NIS 8,475 as it was 1st January.

g. Alimony/child support payments: for purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a wife or child not living with him. However, the deducted amount may not exceed the income support benefit due to him according to the composition of his family.

Source:

www.btl.gov.il/English%20Homepage/Benefits/Income%20Support%20Benefit/Pages/Who%20is%20eligible%20for%20income%20support%20benefit.aspx

5. Housing benefits

The housing benefits are under the authority of the Ministry of Construction and Housing

According to the Trajtenberg committee recommendations, changes have been made regarding Housing Benefits:

- A. Public housing: An "inventory" of apartments that belongs to the state for the use of those in need. Public housing benefit provides subsidized rental apartments.

It should be noted that there is an extended waiting period for public housing apartments. During this period a special assistance for rental accommodation is provided. One is entitled to choose an alternative option whereby "long-term" rental assistance for private rental accommodation is provided at a higher rate for a period of 5 years. During this period the recipient is removed from the waiting list for public housing. At the end of this period, he/she is entitled reapply.

In May 2012, (following the recommendation of the Trajtenberg committee) the Ministry of Construction and Housing (MOCH) contacted those in the "long-term" rental assistance group, regarding the update of their entitlement by the following conditions:

those who are not eligible under the new conditions for the long term rental assistance, will get the same rate as before.

those who responded to the applicant and h their eligible is still relevant will get a higher assistance every month, in category of waiting list for public housing:

- B. Rental Assistance– a grant given to singles, couples, families, elderly and or disabled persons meeting specific criteria as determined by the Ministry of Construction and Housing.

5.1 Conditions for receipt

All housing benefits are subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement).

- A. Public housing: The inventory of apartments in public housing is very limited, therefore eligibility for this benefit is restricted to persons who are in a state of economic or functional stress:
- An individual or a family, who do not share rights partial or complete rights to an accommodation - existing or in building process.
 - Persons holding a certificate to prove that he/she are lacking an apartment.
 - Families:
 - Where both parents have accumulated at least 1400 "credit points".
 - That has 3 or more children.
 - Whose income is less than the maximum amount of social security that a couple with 2 children can receive.
 - Working to their full earning capacity.

B. Housing assistance:

- An individual or a family, who do not share partial or complete rights to an accommodation - existing or in building process.
- A person with an apartment, which is registered in his name under the following conditions:
 - The apartment is not available to him;
 - A close family member is living in that apartment (sister, brother, mother, father);
 - The family member did not and does not have any other apartment registered in his name;
 - The family member has not received any housing assistance.

5.2 Calculation of benefit amount

The amount of benefit is calculated by "credit score" system. This score is relevant only for mortgages and public housing benefits.

The "credit score" is determined by several parameters: family situation, number of children in the family, number of siblings of each parent, other benefits given to the family, age, income, benefits for particular groups, and living areas.

Calculation of gross benefit

- A. Public housing: provides accommodation for those who fulfill conditions (as mentioned above).
- B. Rental assistance:

The benefit is calculated according to several parameters: those parameters determine the amount given for rental assistance.

The parameters include:

- Area of residence: Those who do not live in *priority development area* are entitled to larger benefits in accordance with higher rents required in these areas.
- Family situation: couples, single parent, singles
- Age - relevant only where singles are concerned.
- Number of children:
- Income test – for families with at least one parent working full time whose the total family income is low.
- Existence benefits, including: Earning disability benefit of at least 75% and an income support benefit.
- An increased rate of 10% is given to holocaust survivors, Second World War veterans or victims of the Chernobyl nuclear reactor disaster.

Calculation of assistance with paying the rent:

Most of the rental assistance is allocated to those who do not live in *priority development areas*. Therefore the amount given is for those areas alone:

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Category	2012)NIS(
Individuals	
Aged 55+ receiving income supplement benefit	580
Couples with no children	850
Lone parents/couples with children	
Up to 3 children (incl)	1,170
4 children or more	1,470
Their income from wage is under 25% above the income level credit (grade 46):	
Up to 3 children (incl)	740
At least 4 children	930
"Long-term" rental assistance for private rental accommodation	
Up to 3 children (incl)	1,750
4 children or more	2,200
waiting for public housing apartments:	
Up to 3 children (incl)	2,500
4 children or more	3,000

*The information above *does not* include *all* categories, as for example: families that receive special income supplement benefit and as mentioned there are person entitled to additional rate of 10% above the assistance.

***Income test: the maximum wage in which the person is entitled to the benefit is as follows:

Entitled group	Grade 45 (InNIS)			Grade 46 (In NIS)			Grade 47 (In NIS)		
	Feb. 2010	Jan. 2011	May 2012	Feb. 2010	Jan. 2011	May 2012	Feb. 2010	Jan. 2011	May 2012
Couple	4,106	4,186		5,132	5,233				
Couple with child	4,520	4,610	4,757	5,650	5,763	5,946			
Couple with 2 or more children	5,537	5,652	5,825	6,921	7,065	7,281			
Lone-parent family							7,180	7,330	7,554

5.3 Tax treatment of benefit and interaction with other benefits

None

5.4 Treatment of particular groups

5.4.1 Young persons

None

5.4.2 Elderly persons

Housing benefit rates for the elderly person are increased:

- Families and individuals aged 55+ that receive an existence benefit are entitled to increased rental assistance.
- Those who receive a pension benefit with income supplement benefit are entitled to increased rental assistance.
- Elderly persons are also entitled to shelter housing as opposed to the inventory of apartments in their area of residency area.

5.4.3 Others if applicable

a. Single parent:

- The rates of benefits given to single-parent families are allocated according to two types of families: families with up to 3 children and families with 4 or more children.
- The rates for single-parent families range from NIS 740 to NIS 3,000, in accordance with various criteria.

b. New immigrants

There are two types of eligibility for assistance:

1. Immigrants entitlement based on seniority years - this benefit is given from the second year of residency and until the 5th year of residency. ; the amount of benefit declines every year (max-min):
 - a. For families: NIS 402- NIS 99
 - b. For individuals: NIS 223 - NIS 89
 - c. For single parents: NIS 402- NIS 134
 2. Immigrants in their first years of residency, who immigrated between 15.8.2004 and 31.12.2008 and are entitled to rental assistance, receive a 50% additional rental payment if they live in national preferred areas, as appose to their years of residency.
- c. Lone soldiers** – soldiers whose families do not live in Israel are entitled to rental assistance amounting to NIS 402 per month while they are in-service

6. Family benefits

Child allowance:

Monthly allowance received by parents according to the number of children in the family.

For a child under the age of 18 living in Israel, not married.

Maternity - In Israel there are benefits given to parents due to the birth of a child. Those benefits are detailed under the definition of "Maternity", and will appear in this document in "text box":

- **Hospitalisation grant** – a grant given to the hospital due to hospitalisation in connection with giving birth.
- **Birth grant** – a grant given to the woman giving birth.
- **Birth allowance** – an allowance given due to the birth of 3 or more children in one birth.
- **Maternity allowance and vacation pay** – allowances given due to the maternity leave.
- **Risk pregnancy benefit** – a benefit given during the pregnancy for a woman in risk due to her pregnancy.

6.1 Conditions for receipt

Child allowance:

Insurance contributions (NOT CONDITION FOR RECEIPT!):

	<u>Full rate</u>	<u>Reduced rate</u>
Employee	no payment	
Employer	2.08%	1.32%
Self employed	2.40%	1.32%
Other insured	1.67%	1.10%
Government:		
For employee	0.08%	0.08%
For self employed	0.08%	0.08%

Government participation: 208% of insurance contribution receipts,
funds study grants and payments to new immigrant children

Maternity: Government participation: the government participates in paying the birth allowance and the hospitalization grant.

	<u>Full rate</u>	<u>Reduced rate</u>
Employee	0.87%	0.04%
Employer	0.16%	0.12%
Self employed	0.82%	0.56%
Other insured	0.26%	0.11%
Government:		
For employee	0.09%	0.09%
For self employed	0.09%	0.09%

Ministry of Defense: maternity allowance to woman soldiers – a woman soldier who gave birth during her army service is entitled to allowance, funded by the Ministry of Defense

Conditions of entitlement:

- An Israeli resident, age 18 and over.
- *An insured person with at least one child;*
- Or**
- *An insured person who supports a child who is not his for at least 12 months.*

Maternity:

• **Hospitalisation grant, Birth grant and Child Birth allowance:**

- An insured woman or a wife of insured person, even if she gave birth outside Israel.

Or:

- Employee or self employed woman working in Israel or the wife of an employee or self employed person.
- Need to be hospitalized in connection with giving birth.
- Working in Israel for at least 6 month immediately preceding the birth even if not residents in Israel provide she gave birth in Israel.
- The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident – all as defined under the Law.

• **Maternity allowance and vacation pay:**

- An employee or self employed woman;
- Ages 18 and over;
- Working in Israel;
- A woman aged 18 or over in vocational training;
- A woman employee working abroad – under certain conditions.

- **Qualifying period:**

For maternity allowance for mother or father:

The period of payment of insurances contributions for the employee or by self-employed: for 10 out of the 14 months or for 15 out of the 22 months preceeding the *determining date*.

For maternity allowance for mother only: also for 6 out of the 14 months preceding the *determining date*.

For maternity allowance for father:

- The completion of a qualifying period up to *determining date*;
- Employer's authorization of father's maternity leave;
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.

Determining date - The day on which the insured woman ceased working while pregnant.

• **Risk pregnancy benefit:**

- A resident of Israel;
- Employee or self employed woman;
- Absence from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to *determining date* for risk pregnancy:
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

Determining date for risk pregnancy – The day on which the insured woman ceased working due to need for precautionary rest as result of risk pregnancy.

Calculation of benefit amount

6.2.1 *Calculation of gross benefit*

Child allowance:

From 2009 to 2012 inclusive, the allowance rates for the 2nd, 3rd and 4th children in families are determined on the basis of the previous *basic amount* [2] that was in force in January 2009 (NIS 159).

For a child born up to June 1, 2003:

- For the first child – the *basic amount* [2] (basic amount: NIS 173);
- For the second child – the *previous basic amount* [2] + NIS 93;
- For the 3rd child – 1.20 of the *previous basic amount* [2] + NIS 93;
- For the 4th child – 2.22 of the *previous basic amount* [2] + 93;
- For the 5th and each additional child – 2.22 of the *basic amount* [2];

For a child born on or after June 1, 2003:

- For the first child – the *basic amount* [2];
- For the 2nd, 3rd and 4th child – the *previous basic amount* [2] + NIS 93;
- For the 5th and each additional child – the *basic amount* [2].

Maternity:

Both employees and self-employed women who work in Israel are entitled, upon giving birth, to a maternity allowance from the National Insurance Institute for the period of their maternity leave from work.

- **Hospitalisation grant:** a sum set in the regulations and updated from time to time.

- **Birth grant:** 20% of the *basic amount [1]* for one child who is the first child of the family, 9% of the *basic amount [1]* for one child who is the second child of the family, 6% of the *basic amount [1]* for one child who is the third or subsequent child of the family; 100% of the *basic amount [1]* for twins and 50% an additional 50% of the *basic amount [1]* for every additional child born in the same birth.

- **Birth allowance:**

Maternity allowance and vacation pay: 100% of the average daily income liable for insurance contributions of the entitled person in the three-month preceding the *determining date*.

For a period of 14 weeks – if insurance contribution were paid for 10 month out of 14 or for 15 month out of the 22 month preceding the *determining date*.

For a period of 7 weeks (for mother only) – if insurance contribution were paid for 6 month out of 14 or for 15 month out of the 22 month preceding the *determining date*

- **Risk pregnancy benefit:** for every day of precautionary rest due to risk pregnancy, the sum which is the lower of the following:
 1. A sum equivalent to the *basic amount [1]*, divided by 30.
 2. The insured woman's income in the 3 month preceding the day of her cessation of work, divided by 90.

6.2.2 Income and earning disregards

6.3 **Tax treatment of benefit and interaction with other benefits**

Child allowance: is not considered as an income and therefore it is not deductible.

Maternity:

The maternity allowance, vacation pay and risk pregnancy benefits:

The taxes are at the rate of the parallel income amount received from work.

National insurance contributions are deducted from these benefits at the rate detailed in the table at the end of this document.

Health insurance contributions are deducted from these benefits at the rate of a parallel income received from work.

6.4 Treatment of particular groups

6.4.1 Young persons

None

6.4.2 Older workers

None

6.4.3 Others if applicable

- a. Increment to child allowance:** paid to large families (families with three or more children) that receive a *subsistence benefit* (income support, alimony, disability, old age, or survivors) from the NII, for the third and fourth children in the family, at the rate of 0.70 of the *basic amount* [2] (*basic amount* [2]: NIS 173) for each child
- b. Study grant:** paid for every child between the age of 6 and 14 years in entitled families, at the beginning of the school year. The grant is at the rate of 18% of the *basic amount* [3] (basic amount: NIS 8,158), for children aged 6-11 and at the rate of 10% of the *basic amount* [3] for children aged 12-14.

The following families are entitled to a study grant:

- A lone-parent family;
- A family with 4 or more children that receives *subsistence benefit*;
- A child orphaned from both parents;
- An abandoned/orphaned child as defined in the Income Support Law;
- A child who immigrated to Israel without an insured parent;
- A woman residing in a shelter for battered woman, under certain conditions;
- A person who receives an income support benefit separately from his/her spouse;

a. Adopting parent –

Condition of entitlement:

Adoption of a child under 10 years old.

Entitlement to vacation pay: cessation of work due to adoption of a child.

Grant: equivalent to the birth grant according to the number of children under 10 years old who were adopted on the same day.

b. Childbirth allowance - A birth of 3 or more children of whom at least 3 remained alive at the end of the 30 day period immediately following the birth, on condition that the mother is entitled to maternity grant.

The allowance payment calculation – a percentage of the *basic amount [1]* (*basic amount [1]*): NIS 8,475, for 20 months.

c. Maternity allowance:

For father:

- The completion of a qualifying period up to *determining date*.
- Employer's authorization of father's maternity leave
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.
- Mother's entitlement to maternity leave of at least 14 weeks from the birth and father's maternity leave of at least 21 consecutive days.

d. Special hospitalisation grants:

- A mother who gave birth to more than one child, and she or her child is hospitalized during her maternity leave for a period of more than 2 weeks: entitled to maternity allowance for a longer period – according to conditions determined by law.
- A mother, who gave birth, and she or her child is hospitalized during her maternity leave for a period of more than a week: is entitled to split up her maternity leave.

e. A special allowance and special benefit:

Due to the death of the mother while giving birth or within a year of giving birth, who was insured for maternity grant:

For every child who was born in that birth at the rate of 30% of the average wage for a period of 24 months, or if survivors' or dependents' benefit is paid for him – for a period of 12 months.

A special benefit to her widower if he stop working to take care of the child – at a rate of the injury allowance, for a period of up to 12 weeks.

7. Childcare for pre-school children

Fraction of children in child care by child's age and type of childcare available:

CHILDREN IN KINDERGARTENS (INCL. DAY-CARE CENTRES), BY OWNERSHIP AND CHILD'S AGE									
(1) ABSOLUTE NUMBERS									
Year	2010/11			2010/11			2008/09		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergarten s'(2)(3)
GRAND TOTAL (4)	477,320	66,951	410,369	449,424	43,289	406,135	458,215	50,407	407,808
2 years	64,004	21,929	42,075	42,075	67,490	26,196	65,012	25,578	39,434
3 years	131,797	28,420	103,377	103,377	118,456	14,763	121,564	16,752	104,812
4 years	140,092	13,388	126,704	126,704	124,373	2,330	129,430	6,288	123,142
5 years	141,427	3,214	138,213	138,213	139,105		142,209	1,789	140,420
Year	2006/07*			2005/06			2004/05		
Child's age	Total	Private Kindergartens	Municipal and Public Kindergarten s'(2)(3)	Total	Private Kindergarten s	Municipal and Public Kindergarten s'(2)(3)	Total	Private Kindergarten s	Municipal and Public Kindergarten s'(2)(3)
GRAND TOTAL (4)	434,497	44,149	390,348	392,646	25,910	366,736	387,914	12,465	375,449
2 years	60,227	22,939	37,338	51,026	14,153	36,873	39,183	5,984	33,199
3 years	118,280	14,205	104,075	100,869	8,528	92,341	106,030	4,506	101,524
4 years	123,072	4,955	118,117	113,410	2,778	110,632	117,051	1,596	115,455
5 years	132,868	2,050	130,818	127,341	451	126,890	125,650	379	125,271
*The sample frame in 2006/07 has been changed from 1000 to 3000.									
Year	2003/04			2002/03			2001/02		
Child's age	Total	Private Kindergarten s	Municipal and Public Kindergarten s'(2)(3)	Total	Private Kindergarten s	Municipal and Public Kindergarten s'(2)(3)	Total	Private Kindergarten s	Municipal and Public Kindergarten s'(2)(3)
GRAND TOTAL (4)	373,211	14,351	358,861	386,737	13,408	373,329	358,163	13,345	344,818
2 years	34,977	6,991	27,986	29,567	6,777	22,790	29,849	6,718	23,131
3 years	101,438	5,144	96,294	116,343	4,595	111,748	106,846	4,677	102,169
4 years	112,432	1,769	110,664	115,332	1,593	113,739	112,454	1,599	110,855
5 years	124,364	447	123,917	125,495	443	125,052	109,014	351	108,663
Year	2000/01			1999/00			1998/99		

Reference date for all information is **July 1st 2012**

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Child's age	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)	Total	Private Kindergartens	Municipal and Public Kindergartens'(2)(3)
GRAND TOTAL (4)	351,403	24,489	326,914	349,864	24,354	325,510	342,472	23,613	317,859
2 years	38,229	12,731	25,498	62,737	10,785	51,952	61,306	11,351	49,955
3 years	98,427	8,781	89,646	84,873	9,007	75,866	84,621	8,653	75,968
4 years	97,842	2,460	95,382	98,282	3,538	94,744	90,454	3,671	86,783
5 years	116,905	517	116,388	103,972	1024	102,948	106,091	938	105,153

The data regarding private kindergartens are based on a survey conducted by the CBS. As of 2006/07, the setting of private kindergartens has been changed, and is based mainly on the kindergartens appearing in the CBS Business Register. In 2010/11, a survey was conducted among a sample of private kindergartens. The survey continued from January 2011 to August 2011, and included 1,396 kindergartens, of which 887 responded. Of 509 that did not respond, 378 were not kindergartens, 111 were not located, and 20 did not respond for other reasons. Since 2010/11, the sampling method has been based on size strata in geographic units as follows: Every urban locality with 20,000 residents and over; and every district combined with smaller Jewish urban localities, Jewish rural localities and small Arab localities, due to the fluctuations absorbed in the private kindergartens data, the sampling method is been modifying, in order to obtain more reliable data

According to the decision of the Israeli government, the state provides free education from the beginning of the 2012/13 school year, 08/27/2012, for children ages 3-4 learn in the public kindergartens.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Out-of-pocket childcare fees paid by parents

The latest data are for 2011.

Average expenditure on education service (families with children aged 0-15 years)*

	2011		2010	
	net money income		net money income	
	NIS	% from income	NIS	% from income
Total	509	3.48%	516	3.70%
Day nursery	1,230	8.42%	1,185	8.50%
Private kinder garden	1,200	8.21%	1,266	9.08%
Pre-compulsory kinder garden	531	3.64%	554	3.97%
Compulsory kinder garden	285	1.95%	260	1.86%
Elementary school	344	2.36%	371	2.66%
Intermediate school	274	1.87%	274	1.97%
Afternoon education	667	4.57%	668	4.79%

	2009		2008		2007	
	net money income		net money income		net money income	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	503	3.66%	463	3.52%	461	3.79%
Day nursery	1,145	8.34%	1,131	8.60%	1,195	9.81%
Private kinder garden	1,297	9.44%	1,052	8.00%	1,072	8.80%
Pre-compulsory kinder garden	462	3.36%	470	3.57%	470	3.86%
Compulsory kinder garden	298	2.17%	234	1.78%	256	2.10%
Elementary school	358	2.61%	340	2.59%	330	2.71%
Intermediate school	265	1.93%	226	1.72%	231	1.89%
Afternoon education	656	4.78%	593	4.51%	618	5.07%

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	2006		2005		2004	
	net money income 11,587.9		net money income 11,230.5		net money income 10,409.8	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	414	3.57%	415	3.70%	394	3.78%
Day nursery	1,159	10.00%	1,088	9.69%	1,000	9.61%
Private kinder garden	1,147	9.90%	890	7.92%	828	7.96%
Pre-compulsory kindergarden	424	3.66%	369	3.29%	399	3.84%
Compulsory kinder garden	247	2.13%	225	2.00%	231	2.22%
Elementary school	257	2.22%	286	2.54%	294	2.82%
Intermediate school	219	1.89%	200	1.78%	223	2.15%
Afternoon education	542	4.68%	498	4.43%	489	4.70%
*The average expenditure is calculated for the families paying the fee in each group.						

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Until August 27th, 2012, the fee for a pre-compulsory kinder garden (ages 3-4) owned by local authorities, women's organisations (such as Wizo, Na'amat, etc.) and other authorities, is determined by the Ministry of Education. The basic fee was NIS 800 for a school day from 7:30-14:00.

The reduction percentage benefit is due to the average monthly gross income per person (including child allowance) as follows:

Average gross income per person (NIS)	Paying Rank (%)
1336–0	10
1446–1337	20
1568–1447	30
1684–1569	40
1831–1685	50
1920–1832	60
2038–1921	70
2233–2039	80
2279–2234	90
2280 ומעלה	100

The maximum income amount for receiving this benefit from the Ministry of Education is NIS 1,494 (rank 4). Local authorities can fund benefits (beyond the rates given by the Ministry of Education) at their own expense.

Participation in the pre-compulsory kinder garden tuition by the Ministry of Education also takes into account the following circumstances.

1. Area of residency – for the parents living in *preferred area A* and *B* are entitled to a full refund of the tuition.
2. Distressed neighbourhoods, children from age four, living in distressed neighbourhoods as defined by the ministerial commission for distressed neighbourhoods, are entitled to 90% refund of the tuition.

7.1 Child-care benefits

There are no cash benefits received by parents for children in childcare.

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups

8. Employment-conditional benefits

None

9. Lone-parent benefits

There are no specific defined benefits for lone parents. However there are special conditions and rates for lone parents in some benefits. Those are detailed in this document in the "other groups" section of each chapter, under the "treatment of particular groups" headline.

10. Tax system

The Tax System's administrative structure

There are four **administrative authorities that are involved in determining tax policy and the policy for obligatory payments** as well as regarding their imposition, collection and enforcement:

1. Government offices
2. The National Insurance Institute
3. Local authorities
4. Other statutory bodies

Government offices

Ministry of Finance

State Revenue Administration

The State Revenue Administration is a coordinating branch within the Ministry of Finance that coordinates all issues dealing with state revenues and the tax system.

The Israeli Tax Authority

The Israeli Tax Authority is charged for collecting direct taxes, real property taxes, and indirect taxes on. The Tax Authority is also responsible for the implementation and enforcement of the importation rules.

Additional government ministries dealing with collection

There are number of government ministries that collect fees and obligatory payments, which are paid for licenses or services that they provide. These include the Ministry of Transportation, the Ministry of Justice and the Ministry of the Internal Security.

The National Insurance Institute

The National Insurance Institute collects obligatory payments by virtue of the National Insurance Law (1995) and by virtue of the National Health Insurance Law (1994). The National Insurance Institute is under the supervision of the Minister of Welfare and Social Services, who is charged with the implementation of the National Insurance Institute Law and is authorized to enact regulations pursuant to that Law.

Reference date for all information is **July 1st 2012**

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The Minister of Welfare and Social Services chairs the National Insurance Institute Council, whose members include fifty representatives of workers' and employers' organizations, of government ministries and of the public.

The Local Authorities

In 2012, there were 257 local authorities in Israel, of which 76 were cities, 126 were local councils and 54 were regional councils.

Local authorities in Israel collect municipal property taxes, fees and betterment charges on properties within their jurisdictions. Each Local authority has its own tax administration.

The local authorities' income amounted to NIS 16.4 billion in 2007.

Other statutory bodies

Additional statutory bodies, such as the Israel Post Office, the Ports Authority and the Airports Authority collect fees and charges.

Taxes

1. Direct taxes

Three types of direct taxes are imposed on income:

- Income tax
- Capital gains tax
- Real estate tax

2. Indirect taxes

Indirect taxes apply to both locally produced goods and services and imported goods and services. In most cases, these are consumption taxes are imposed on the final consumer.

Taxes on locally produced goods and services

There are three types of taxes on locally produced goods and services:

- Value added tax (VAT)
- Purchase tax
- Fuel excise tax

Taxes on imports

There are three types of taxes imposed on imports:

- Customs
- Purchase tax
- VAT

10.1 Income tax

Taxation of current income (personal income tax)

Personal income tax in Israel for both employed and self-employed is a progressive tax starting at the rate of 10% and increasing to a maximum rate of 48%.

Israel income tax brackets for individuals (2012):

Tax (%)	Income per year (NIS)
10%	1-62,400
14%	62,401-106,560
21%	106,561-173,160
30%	173,161-261,360
33%	261,361-501,960
48%	501,961 and over

10.1.1 *Tax allowances and credits*

Allowance points are granted on the tax due which reduces the tax payable. An *allowance point* is worth NIS 2,580 per year (NIS 215 per month).

10.1.1.1 Standard allowances

The main allowance points are given in the following table:

Subject	No. Of allowance points
Israeli resident	2.25
Woman	0.5
Child under the age of 18 (allowance to the mother)	1.0
Child under the age of 5 (allowance to the mother)	1.0*
Child under the age of 3 (allowance to the father)	2.0

*The mother of the child under the age of 5 receives an additional credit point.

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule*

The employer deducts tax due from his employees at source. The employer transfers the tax to the income tax on the 15th of the month for preceding period. Employers who have a large number of employees report to the Tax Authority once a month, while employers with a lesser number of employees submit their returns once every two months (for example: a small employer submits a return for January and February on March 15). Self-employed persons pay an advance to the Income Tax Authority on the

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15th of the month. The advance is calculated by the Tax Authority according to the figures in annual report submitted for the previous year.

Earned income tax credit

A non-wastable earned income tax credit was implemented in 2008 in selected geographical areas of Israel covering 15% of the population. Entitlement to this credit is established based on earnings in the previous year. The tax credit was extended to all areas of Israel in 2012 (based on the earnings in 2011 and therefore we include it in the 2011 version of the model). For mothers of children up to the age of 2 and for single parents the full coverage started in 2011 (based on earnings in 2010).

Under the law, workers aged 23 or more who are parents of one or two children aged less than 18 (or workers aged 55 or more even without children), and earn at least 45 percent of the minimum wage (currently ILS 1,990 per month) but not more than ILS 5,990 per month are eligible for a monthly increment of up to ILS 320. The corresponding figure for a family with 3 or more children is ILS 460. Families in which both parents work, and their joint income does not exceed ILS 11,530, will be entitled to these benefits for each wage-earner. The grant will is paid four times a year directly into the account of the eligible persons.

10.1.3 State and local income taxes

Municipal Taxes

There is no local tax imposed on income. Nevertheless, the local authority collects taxes according to the area (square meters) of the premises. The amount of the taxes is influenced only by the size and area of the premises.

10.2 Treatment of family income

The tax unit is the individual. Credit points are given due to several family employment conditions, to one specific family member (mother/father/husband/wife

10.3 Social security contributions and payroll taxes

National Insurance

Every resident of Israel aged 18 and over is obligated under law to be insured by National Insurance and to pay the national insurance contributions.

The rate of the monthly payment for a self-employed person amounts to a maximum of 16.23% on a maximum monthly income of NIS 41,850. (In excess of this sum, there is no additional payment to National Insurance).

Health Insurance

Since 1.1.1995 every Israeli resident is insured in National Health Insurance. Therefore every resident must be registered in one of the health maintenance organization, HMO. The insured person can select the HMO as he wishes. The HMO must provide a "basket" of health services as determined by law.

According to the law every Israeli resident must pay contributions for health insurance. These contributions are collected by the NII, which distributes the monies collected to the various HMO's. Rates are calculated according to the insurer's earned and unearned income and according to his work status at a rate determined by law. A person who does not work and has no income pays the minimum payment at the amount of NIS 160.

The following table indicates the rates of insurance contributions paid by the employer and the employees of April 2012:

Insurance Contribution Rates
in 2012

Insurance branch	Employee						Self-employed	
	Total ²		On employee's account		On employer's account			
	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate
Old-age and Survivors	5.89	1.52	3.85	0.22	2.04	1.30	5.21	3.09
Long-term Care	0.23	0.05	0.14	0.01	0.09	0.04	0.18	0.12
General Disability	2.28	0.37	1.86	0.11	0.42	0.26	1.86	1.11
Accident Injury	0.10	0.02	0.07	0.01	0.03	0.01	0.08	0.06
Work Injury	0.90	0.37	--	--	0.90	0.37	0.68	0.39
Maternity	1.11	0.15	0.87	0.04	0.24	0.11	0.82	0.56
Children	2.08	1.32	--	--	2.08	1.32	2.40	1.39
Unemployment	0.28	0.04	0.21	0.01	0.07	0.03	--	--
Bankruptcy	0.03	0.01	--	--	0.03	0.01	--	--
Total Insurance Branches	12.90	3.85	7.00	0.40	5.90	3.45	11.23	6.72
Health	5.00	3.10	5.00	3.10	--	--	5.00	3.10
Total Contributions	17.90	6.95	12.00	3.50	5.90	3.45	16.23	9.82

¹ These rates include the share of the employee and the employer in payment of insurance contributions. In addition, the government participates in the financing of the insurance branches instead of the employer and the self-employed at a rate of 0.67%.

² On income of up to 60% the *averages wage*.

10.3.1 Contributions paid by employees

The employer is required to report on all his employees and their wages and to deduct national and health insurance contributions from their wages.

On the share of the employee's wages that is under 60% of the *average wage*, ILS 5 171 per month in 2012, insurance contributions are deducted at a total rate of 3.50% (as of 1.1.2008): national insurance contributions at a rate of 0.40% and health insurance contributions at a rate of 3.10%.

On the share of the employee's wages that is 60% or over of the *average wage*, insurance contributions are deducted at a total rate of 12.00% (as of 1.1.2008): national insurance contributions at a rate of 7.00% and health insurance contributions at a rate of 5.00%.

10.3.2 Contributions paid by employers

In addition to deducting the insurance contributions from the wages of his employees, the employer must pay insurance contributions from his own income for the various insurance branches – at amounts indicated in the different chapters.

10.4 Treatment of particular groups

10.4.1 Young persons

One credit point to person 16-17 years old.

10.4.2 Older workers

There are special tax brackets for incomes of the elderly.

10.4.3 Others if applicable

The following groups receive credit points above the standard credit points:

For example:

- A woman is entitled to 0.5 credit point.
- Lone-parent families are entitled to 1.0 credit point
- A new immigrant is entitled to 1-3 credit points.
- Couples living apart are entitled to participation in childcare.
- A demobilized soldier is entitled to 2.0 credit points.
- Graduates of academic studies are entitled to 0.5 credit point
- Ext.

11. Part-time work

11.1 Special benefit rules for part-time work

Part-time workers are entitled to national and health insurance benefits under the same schemes as are full-time workers. They have to fulfill the same qualifying conditions in order to be entitled to any of the above-mentioned benefits.

11.2 Special tax and social security contribution rules for part-time work

There are no special rules for part-timework.

12. Policy developments

Regarding the tax system in Israel:

In Israel tax is levied on personal basis. Israelis pay taxes on all sources of income, both in Israel and abroad. Foreign residents pay taxes only on income derived in Israel, all subject to the conventions for the avoidance of double taxation.

- In 2009 Israel's corporate income tax rate is 26% (previous rate – 27%).
- Individual income tax rates in 2009 are 10%-46%.
- Income tax rate on stock exchange gains 15%-20%.

There are reduced tax rates for passive income abroad.

There is an exemption from capital gains for foreign investors, subject to certain conditions.

Israel announced a reduction of top marginal individual income tax rate, from the current 46% to 39% by 2016.

Reduction of corporate income tax , from 26% to 20% by 2015.

VAT rates:

- Until 30.6.2009 – 15.5%;
- From 01.07.2009 until 31.12.2009 – 16.5%;
- From 01.01.2010 – 16%.

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012

05.12.2011 - On December 5th, the Knesset approved the Law for Socioeconomic Change, which contains most of the recommendations regarding taxes contained in the report of the Trajtenberg Committee. The law halted the implementation of the long-term plan to reduce income tax rates on individuals and corporations, which was meant to continue until 2016.

Instead, the rate of taxation on individuals in the highest tax bracket (above NIS 41,830 per month) was raised to 48 percent and the tax rate on corporations was raised to 25 percent .In contrast, according to the decision of the Knesset Finance Committee, and against the recommendations of the Trajtenberg Committee which were approved by the government, the rate of taxation on individuals was reduced for the third tax bracket (between NIS 8,881 and NIS 14,430 per month) from 23 to 21 percent. The rates of the betterment tax and the capital gains tax were raised from 20 to 25 percent (and for major shareholders from 25 to 30 percent). The law introduces a number of significant benefits for working families: fathers will receive two credit points for each child up to the age of three, in addition to the credit points of the mother; an increase in the Earned Income Tax Credit of 50 percent for working mothers and single-parent fathers; bringing forward the lowering of the ceiling on Social Insurance payments;. With regard to the cancellation of tariffs on imports, a partial decision was reached which immediately cancelled tariffs on goods not produced in Israel and which will gradually reduce tariffs in competitive industries. In contrast, purchase taxes on tobacco in bulk and cigars were raised.

03.05.2012 - Tax Benefits to Encourage the Use of Hybrid and Electric Vehicles

The purchase tax rate on electric vehicles will be reduced from 10% to 8% in 2012-2013, and the purchase tax rate on hybrid vehicles will remain 30% in the year of 2013, instead of the planned tax increase to 45%.

12.2

Future policy changes announced since 1st July 2012

A. Tax system

30.07.2012

On July 30th, 2012 the Cabinet approved the package of steps to reduce the deficit and cope with the implications of the global economic crisis on Israel's economy.

Increasing tax revenues:

- 1% VAT (up to 17%), beginning on September 1, 2012;
- Increasing income tax by 1% in 2013 - for those earning above NIS 14,000 (apart from those earning over NIS 67,000 per month, whose tax will be increased by 2%);
- Increasing the employer's social security contributions by 0.6% in January 2013,
- Revenues of at least NIS 3 billion from profits on which large companies have not yet paid tax;
- increasing taxation on cigarettes and beer,
- extending by one year the temporary provision granting a purchase tax exemption to owners of a single apartment, until December 31, 2013; for owners of an additional residential apartment, the temporary provision regarding high purchase tax rates will be extended by a year, until December 31, 2013;
- Updating the green taxation formula for vehicles .

The package of steps is expected to contribute approximately NIS 14.4 billion to the State's revenues in 2013.

05.11.2012

Knesset Approves an Amendment to the Law for the Encouragement of Capital Investments Aimed at Giving Companies an Incentive to Pay Tax on Exempt Profits

The Encouragement of Capital Investments Law prior to the Amendment No. 68 of January 6, 2011, determined a tax-free track on profits that were generated at an industrial or beneficiary enterprise. However, the law stipulated that when a dividend is distributed out of the income of an enterprise that was acquired during the period when it was exempt from corporate tax, then in the tax year in which the dividend was distributed the company will be charged the corporate tax that it would have been charged had it not been exempt in the year in which the income was generated. The situation described above caused companies that received a tax exemption under the law to refrain from distributing dividends out of the said profits in order not to have to pay corporate tax at the time of distribution.

Today a temporary provision was added whereby companies will be charged a reduced corporate tax on profits originating in a tax-free track. The law bill is expected to increase the State's revenues by approximately NIS 3 billion.

The law bill introduces a beneficiary tax rate on these exempt profits, in accordance with the "unfreezing" rate of the profits, such that the rate of the benefit will range between 30% and 60% and, accordingly, the tax rate paid by the company will range between 40% and 70% of the original tax rate that it would have had to pay, but no less than 6% (which has been set as the minimal beneficiary corporate tax rate).

The new benefit is conditioned on an obligation to invest in Israel in the amount of up to half of the tax benefit that was granted to the company, with the investment being in an industrial enterprise, in assets used by the enterprise, in R&D or in the salaries of new employees.

B. National Insurance Institute

Policy changes introduced during 2011

CHILDREN

Continued gradual change in the amounts of child allowance paid for the second, third and fourth children in families

Under the Economy Arrangements Law for 2009 and 2010, the child allowances paid for the second, third and fourth children in families are being gradually raised from July 1, 2009 to April 2012.

By the end of the process, in 2012, another NIS 100 will be received by families for each of their second, third and fourth children.

MATERNITY

Maternity allowance for foster families

Under Amendment 48 to the Women's Work Law, as of August 2011, authorized foster families may be eligible for maternity leave for their foster child if they are caring for this child for over six months.

Following this amendment, the National Insurance Law has been amended accordingly, to allow for the payment of maternity allowance (called in this case *foster allowance*) for such families, provided that the father or mother meet all the conditions of entitlement to the regular maternity allowance, including qualifying period.

The new *foster allowance* may be received by more than one family for the same child, but if so – not for the same period of time.